

September 2026



MORGAN SINDALL GROUP PLC

Strategic bolt-on to deepen high-voltage, grid connection and energy infrastructure capabilities

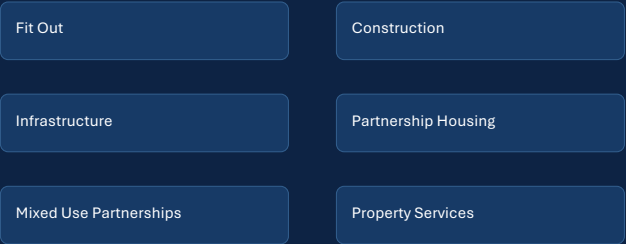
Morgan Sindall has the balance sheet and strategic exposure to pursue a selective infrastructure bolt-on

Buyer context: UK-focused construction and infrastructure group with material cash reserves and energy-transition exposure

Morgan Sindall Group

UK construction and regeneration group operating across six divisions.

Core activities

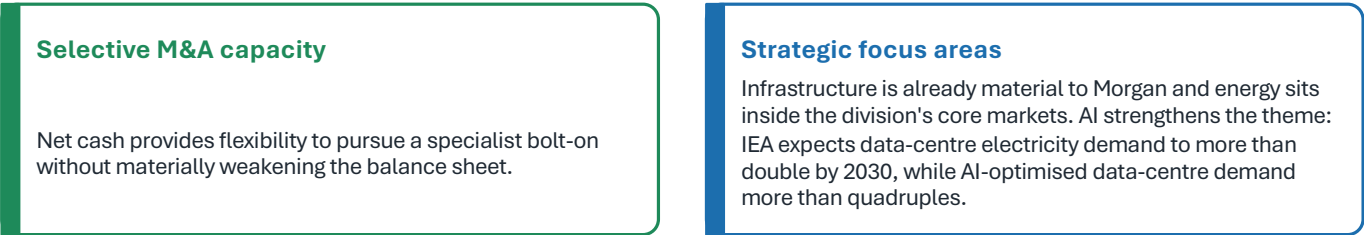


Acquisition screen: bolt-ons that deepen existing divisions, add frameworks or strengthen UK energy transition / nuclear / decarbonisation exposure.

WHY MORGAN CAN ACT



STRATEGIC FIT

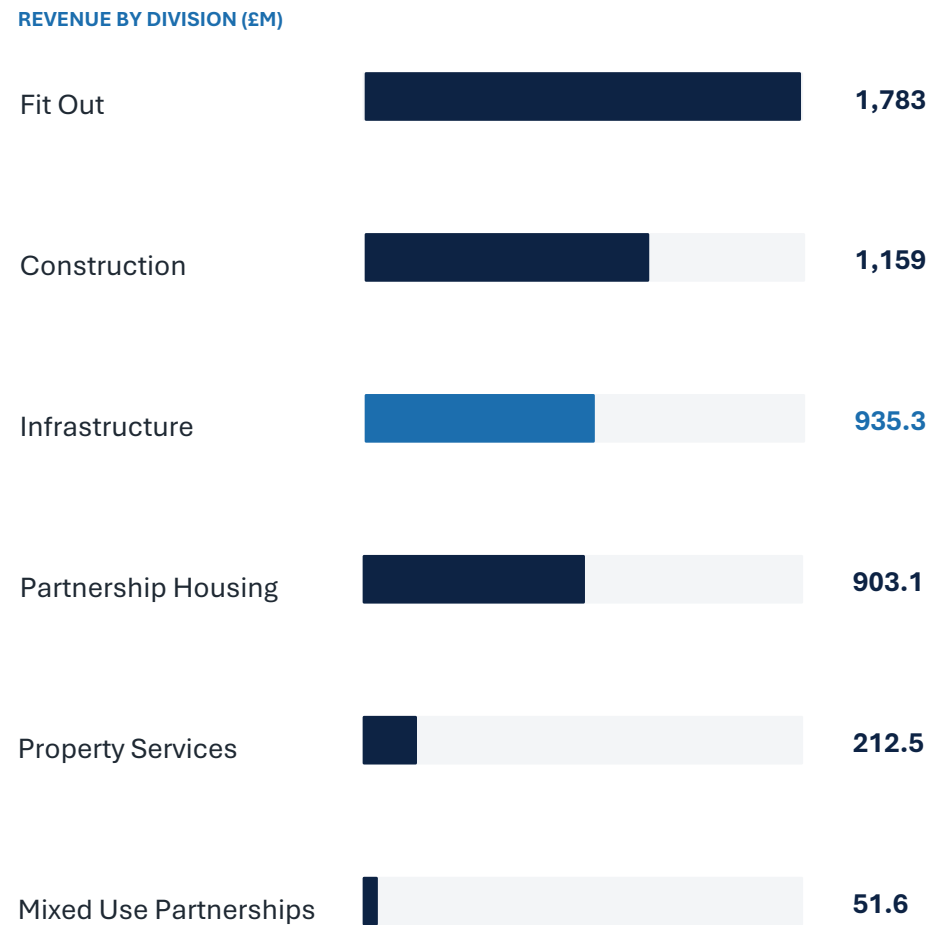


OPENING THESIS

The acquisition question is not whether Morgan Sindall can already deliver infrastructure; it is whether Morgan can capture more specialist electrical scope within the infrastructure projects it already touches.

Infrastructure remains a meaningful revenue base, but Fit Out drove most of the 2025 growth

Revenue mix and divisional margins highlight why an infrastructure-specialist bolt-on needs to be targeted, not generic



Bars show 2025 revenue by segment

Source: Research doc, segment revenue and adjusted operating profit tables.

OPERATING MARGIN

Segment	2024	2025	Change
Fit Out	7.6%	7.8%	0.2ppt
Construction	3.0%	3.2%	0.2ppt
Infrastructure	3.7%	4.0%	0.3ppt
Partnership Housing	4.2%	4.7%	0.5ppt
Property Services	-8.0%	0.9%	8.9ppt
Mixed Use Partnerships	1.7%	-10.3%	-11.9ppt

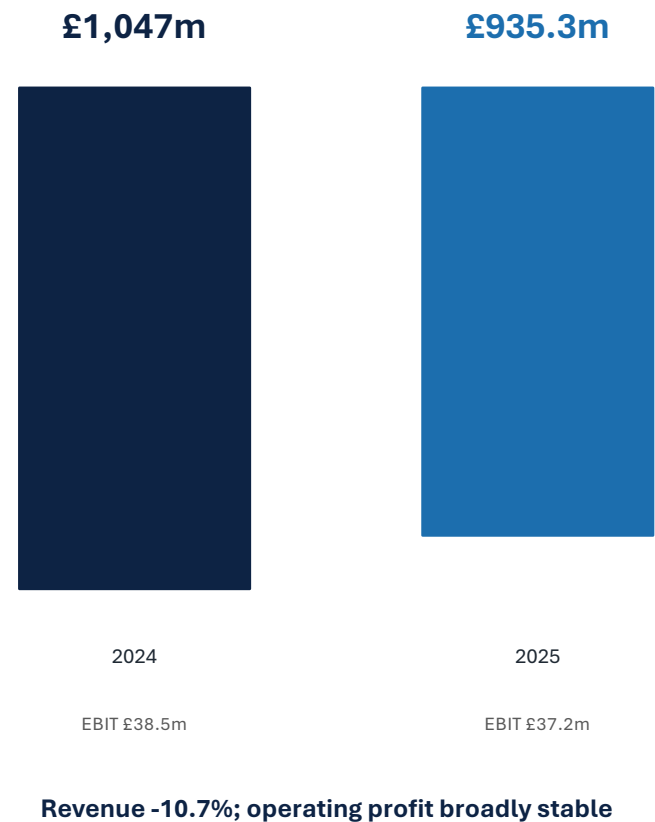
Infrastructure focus

Infrastructure contributed c.£935m of revenue in 2025, and remained profitable despite a temporary mobilisation-led revenue dip. Energy is the clearest sub-theme: IEA expects global data-centre electricity demand to more than double by 2030, and National Grid’s ETP allocates c.£8bn to 130 substation projects.

The infrastructure dip looks like a timing issue, while the grid pipeline creates a clear “why now”

Infrastructure revenue fell in 2025, but the underlying strategic market is moving toward long-duration power and grid programmes

INFRASTRUCTURE REVENUE AND PROFIT



INTERPRETATION



Why now

Morgan already has positions on major energy/grid programmes. Acquiring a specialist HV contractor would be timed to the mobilisation of the UK grid investment cycle, not a speculative entry into a new market.

Board logic

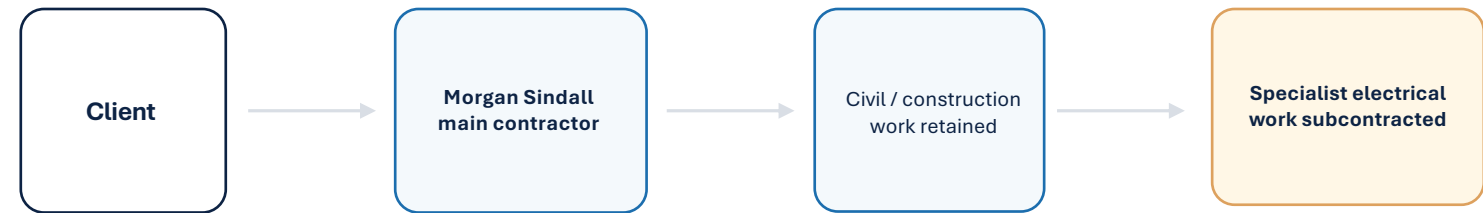
A focused specialist target better fits Morgan’s “selective M&A” posture than a large transformational deal.

Investment message: the division is temporarily lower-growth, but the backlog and grid theme can support higher-quality specialist M&A.

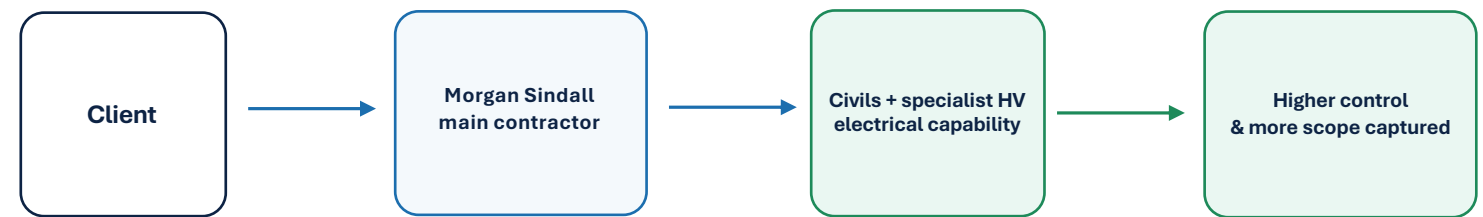
ScottishPower highlights the opportunity: Morgan wins civil/construction scope, but electrical packages go to specialists

The value creation case is about capturing more project scope and reducing interface risk, not claiming Morgan cannot deliver infrastructure

TYPICAL ENERGY PROJECT TODAY



AFTER POWERSYSTEMS ACQUISITION



9.8%

of ScottishPower's £2.4bn substation framework was allocated to specialist electrical works

£235m electrical lot

Morgan was appointed to adjacent civil/construction lots, but not the electrical lot.

Risk and control

When specialist packages sit outside Morgan, delivery risk becomes more dependent on third-party availability, interface management and contractor coordination.

Revenue opportunity

Owning Powersystems could let Morgan bid for a broader scope: civil works plus HV electrical / grid connection packages.

Powersystems brings the specialist HV capability Morgan would want to own inside its grid platform

High-voltage design, substations, grid connections, cable works and commissioning across renewable and power infrastructure

Powersystems UK

Specialist electrical engineering contractor focused on high-voltage infrastructure and grid connections.

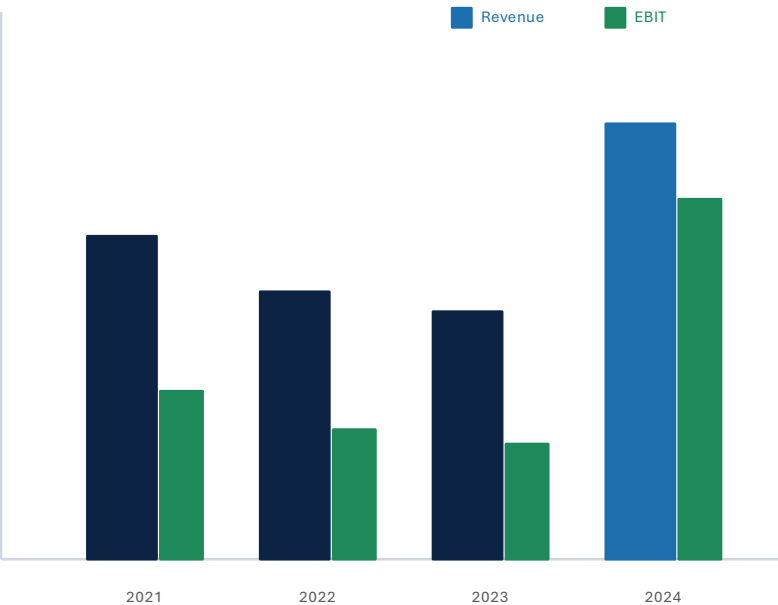
WHAT THEY DO

- HV design and installation
- Grid connections
- Substations and switchgear
- Cable laying
- Testing and commissioning

WHY MORGAN CARES

Powersystems turns a third-party interface into a controllable internal capability in a strategic growth market.

FINANCIAL TRAJECTORY (£M)



£63.5m

2024 revenue

£7.5m

2024 EBIT

11.9%

EBIT margin

£8.0m

Assumed EBITDA
normalised base

Base-case interpretation

2024 appears to be a step-change year: revenue rose to £63.5m and EBIT margin expanded to c.11.9%. The model assumes £8.0m normalised EBITDA in the base case.

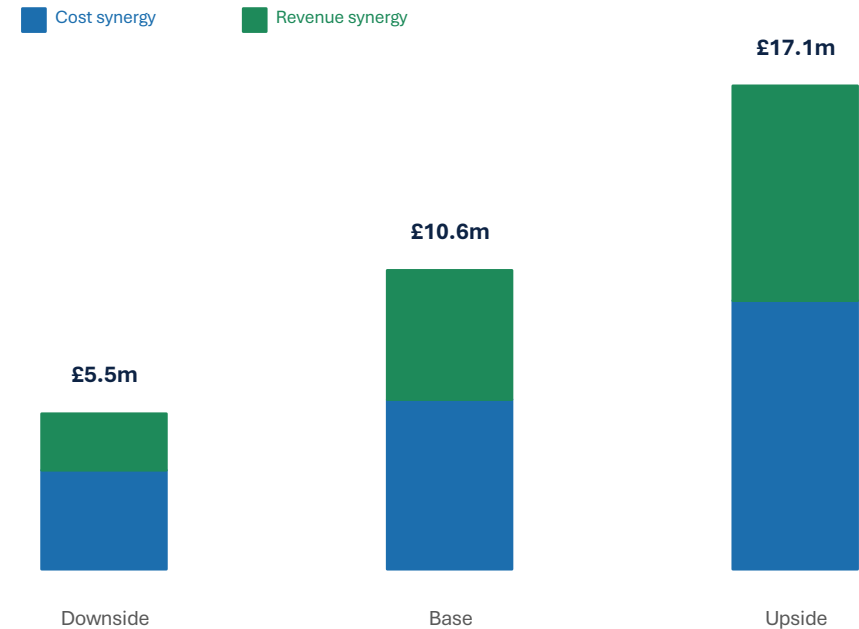
Ownership note

Employee ownership may complicate transaction execution. This should be addressed through due diligence and retention structures.

Base case synergies add c.£10.6m EBITDA through self-delivery and incremental electrical wins

The value creation case has two separate drivers: margin capture on existing projects and revenue from newly addressable specialist packages

SYNERGY EBITDA BY SCENARIO (£M)



HOW THE BASE CASE IS BUILT

Cost synergy: £6.0m

Existing Morgan energy work: average £100m contract × 20% relevant subcontracted electrical work × 10% specialist EBITDA margin × 60% internalisation × 5 contracts.

Revenue synergy: £4.6m

New specialist electrical packages: average £15m package × 12.7% EBITDA margin × 80% self-delivery × 3 relevant contracts per year.

Why it matters

Synergies are not simply “subcontractor savings”; they are mainly a route to own more of each energy project and pursue packages that currently go to HV specialists.

£m	Downside	Base	Upside
Cost synergy EBITDA	3.5	6.0	9.5
Revenue synergy EBITDA	2.0	4.6	7.6
Annual synergy EBITDA	5.5	10.6	17.1

At ~8.0x entry multiple, synergies reduce the effective multiple to c.3.4x in the base case

Valuation is built from normalised EBITDA, then bridged to equity value and funding needs

EV/EBITDA VALUATION RANGE



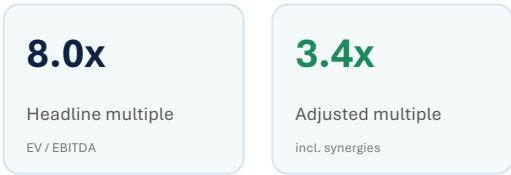
Base purchase EV

£8.0m normalised EBITDA × 8.0x EV/EBITDA = £64.0m enterprise value.

EV-TO-EQUITY BRIDGE (£M)

Purchase EV	£64.0m
+ cash acquired	£10.8m
- debt	£0.0m
Equity value	£74.8m
+ fees	£2.0m
Total uses	£76.8m

SYNERGY-ADJUSTED MULTIPLE



Formula: Purchase EV / (standalone Powersystems EBITDA + synergy EBITDA)

Metric	Downside	Base	Upside
Purchase EV	42.0	64.0	85.5
Standalone EBITDA	6.0	8.0	9.5
Synergy EBITDA	5.5	10.6	17.1
Adj. multiple	3.7x	3.4x	3.2x

The transaction is affordable and accretive across scenarios, with c.£454m net cash retained in the base case

Base case suggests Morgan pays ~£77m total uses and receives c.£18.6m total EBITDA contribution including synergies

£64m Purchase EV	£76.8m Total uses	£454m Post-deal net cash	£18.6m PF EBITDA contribution	3.4x Adj. multiple	9.1% EPS accretion
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PRO FORMA INCOME STATEMENT – BASE CASE (£M)

£m	Morgan	Powersystems	Synergies	Pro Forma
Revenue	4,546.2	63.5	36.0	4,645.7
EBITDA	195.6	-	10.6	206.2
EBIT	162.0	7.5	10.6	180.1
Net interest	9.9	0.1	(2.3)	7.7
PBT	171.9	7.6	8.3	187.8
Tax	(40.2)	(2.0)	(1.9)	(44.1)
Net income	131.7	5.7	6.3	143.7

Note: Powersystems EBITDA left blank where D&A is not separately disclosed in the source statements; EBIT-based transaction impact remains clean.

SCENARIO OUTPUTS

Metric	Down	Base	Up
Total uses	54.8	76.8	98.3
Post-deal net cash	476.4	454.4	432.9
Adj. multiple	3.7x	3.4x	3.2x
PF EPS	2.89	2.96	3.06
EPS accretion	6.5%	9.1%	12.5%

Conclusion for committee

Deal looks financially attractive if Powersystems’ 2024 profit level is sustainable and Morgan can validate the cost/revenue synergy assumptions through due diligence.

**MORGAN
SINDALL**
